FUNDAMENTALS OF MANAGEMENT

MG302

10. Details of Course :

S.No.	Detail Contents	Contact Hours
1.	Definition of management, importance of management, management principals, managerial roles, managerial ethos, management vs administration, managerial functions, task and responsibilities, organizational structure, motivation: meaning, theories and techniques.	8
2.	Concept of business environment, corporate social responsibility and corporate governance, managerial values and ethics.	8
3.	Objectives and importance of financial management, basics of capital budgeting, cost of capital, emerging sources of funds for new projects, introduction to stock market.	9
4.	Functions of marketing, marketing Vs sales, interface of marketing with other departments, customer life time value, new product development, unethical issues in marketing.	8
5.	Introduction to knowledge management, knowledge society, knowledge economy, building knowledge assets, sources of knowledge, technology innovation process, E-governance: definition, objectives and significance; challenges in Indian context, Digital India programme.	9
	Total	**42**

UNIT 1

- Definition of management
- importance of management
- management principles
- managerial roles
- managerial ethos
- management vs administration
- managerial functions, task and responsibilities
- organizational structure
- motivation: meaning, theories and techniques.

DEFINITIONS OF MANAGEMENT

- "Management is the process of designing and maintaining an environment in which individuals, working together in groups, efficiently accomplish selected aims." ~Harold Koontz and Heinz Weihrich

- "Management is defined as the process of planning, organizing, actuating and controlling an organization's operations in order to achieve coordination of the human and material resources essential in the effective and efficient attainment of objectives." ~Robert L. Trewelly and M. Gene Newport

- "Management is the process of working with and through others to effectively achieve organizational objectives by efficiently using limited resources in the changing environment." ~Kreitner

- Management, has therefore, been defined as a **process** of getting things done with the aim of achieving goals **effectively** and **efficiently**.

DEFINITIONS OF MANAGEMENT

1. **Process** in the definition means the primary functions or activities that management performs to get things done. These functions are planning, organizing, staffing, directing and controlling which we will discuss later on.

2. Being **effective** or doing work effectively basically means finishing the given task.

3. **Efficiency** means doing the task correctly and with minimum cost.

Suppose, a company's target production is 5000 units in a year. To achieve this target the manager has to operate on double shifts due to power failure most of the time. The manager is able to produce 5000 units but at a higher production cost. In this case, the manager was effective but not so efficient, since for the same output, more inputs (labour cost, electricity costs) were used.

CHARACTERISTICS OF MANAGEMENT

(i) **Management is a goal-oriented process:** An organisation has a set of basic goals which are the basic reason for its existence.

(ii) **Management is all pervasive:** The activities involved in managing an enterprise are common to all organisations whether economic, social or political.

(iii) **Management is multidimensional:** Management is a complex activity that has three main dimensions. These are:
(a) Management of work
(b) Management of people
(c) Management of operations
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CHARACTERISTICS OF MANAGEMENT

(iv) **Management is a continuous process:** The process of manage ment is a series of continuous, composite, but separate functions.

(v) **Management is a group activity:** An organisation is a collection of diverse individuals with different needs.

(vi) **Management is a dynamic function:** Management is a dynamic function and has to adapt itself to the changing environment.

(vii) **Management is an intangible force:** Management is an intangible force that cannot be seen but its presence can be felt in the way the organisation functions

IMPORTANCE OF MANAGEMENT

(i) **Management helps in achieving group goals:** Management is required not for itself but for achieving the goals of the organisation.

(ii) **Management increases efficiency:** The aim of a manager is to reduce costs and increase productivity through better planning, organising, directing, staffing and controlling the activities of the organisation.

(iii) **Management creates a dynamic organisation:** All organisations have to function in an environment which is constantly changing.

IMPORTANCE OF MANAGEMENT

(iv) Management helps in achieving personal objectives: A manager motivates and leads his team in such a manner that individual members are able to achieve personal goals while contributing to the overall organisational objective.

(v) Management helps in the development of society: An organisation has multiple objectives to serve the purpose of the different groups that constitute it. In the process of fulfilling all these, management helps in the development of the organisation and through that it helps in the development of society.

FUNCTIONS OF MANAGEMENT

Management is described as the process of planning, organising, directing and controlling the efforts of organisational members and of using organisational resources to achieve specific goals.

1. **Planning** is the function of determining in advance what is to be done and who is to do it.
2. **Organizing** is the management function of assigning duties, grouping tasks, establishing authority and allocating resources required to carry out a specific plan.
3. **Staffing** simply stated, is finding the right people for the right job. A very important aspect of management is to make sure that the right people with the right qualifications are available at the right places and times to accomplish the goals of the organisation.

FUNCTIONS OF MANAGEMENT

4. **Directing** involves leading, influencing and motivating employees to perform the tasks assigned to them. This requires establishing an atmosphere that encourages employees to do their best. Motivation and leadership are two key components of direction. Directing also involves communicating effectively as well as supervising employees at work.
5. **Controlling** is the management function of monitoring organisational performance towards the attainment of organisational goals.

PLANNING

Planning is defined as setting objectives for a given time period, formulating various courses of action to achieve them, and then selecting the best possible alternative from among the various courses of action available.

Steps in the process of planning:

(i) Setting Objectives: The first and foremost step is setting objectives. Every organisation must have certain objectives. Objectives may be set for the entire organisation and each department or unit within the organisation.

(ii) Developing Premises: Planning is concerned with the future which is uncertain and every planner is using conjecture about what might happen in future. Therefore, the manager is required to make certain assumptions about the future. These assumptions are called premises.

(iii) Identifying alternative courses of action: Once objectives are set, assumptions are made. Then the next step would be to act upon them. All the alternative courses of action should be identified.

PLANNING

(iv) Evaluating alternative courses: The next step is to weigh the pros and cons of each alternative. Each course will have many variables which have to be weighed against each other.

(v) Selecting an alternative: This is the real point of decision making. The best plan has to be adopted and implemented.

(vi) Implementing the plan: This is the step where other managerial functions also come into the picture. The step is concerned with putting the plan into action, i.e., doing what is required.

(vii) Follow-up action: To see whether plans are being implemented and activities are performed according to schedule is also part of the planning process.

ORGANISING

Organising can be defined as a process that initiates implementation of plans by clarifying jobs and working relationships and effectively deploying resources for attainment of identified and desired results (goals).

steps in the process of organising:

(i) Identification and division of work: The first step in the process of organising involves identifying and dividing the work that has to be done in accordance with previously determined plans.

(ii) Departmentalisation: Once work has been divided into small and manageable activities then those activities which are similar in nature are grouped together. This grouping process is called departmentalisation.

(iii) Assignment of duties: It is necessary to define the work of different job positions and accordingly allocate work to various employees.

(iv) Establishing authority and reporting relationships: Merely allocating work is not enough. Each individual should also know who he has to take orders from and to whom he is accountable.

STAFFING

Staffing has been described as the managerial function of filling and keeping filled the positions in the organisation structure.

Steps in the process of staffing:

(i) Estimating the Manpower Requirements: While designing the organisational structure, various job positions are created. Clearly, performance of each job necessitates the appointment of a person with a specific set of educational qualifications, skills, prior experience and so on.

(ii) Recruitment: Recruitment may be defined as the process of searching for prospective employees and stimulating them to apply for jobs in the organisation.

(iii) Selection: Selection is the pro cess of choosing from among the pool of the prospective job candidates developed at the stage of recruitment.

(iv) Placement and Orientation: Joining a job marks the beginning of socialisation of the employee at the workplace. The employee is given a brief presentation about the company and is introduced to his superiors, subordinates and the colleagues.

STAFFING

(v) Training and Development: What people seek is not simply a job but a career. Everyone must have the opportunity to rise to the top. The best way to provide such an opportunity is to facilitate employee learning.

(vi) Performance Appraisal: After the employees have undergone a period of training and they have been on the job for some time, there is a need to evaluate their performance.

(vii) Promotion and career planning: It becomes necessary for all organisations to address career related issues and promotional avenues for their employees.

(viii) Compensation: All organisations need to establish wage and salary plans for their employees. There are various ways to prepare different pay plans depending on the worth of the job. Basically the price of the job needs to be determined.

DIRECTING

directing refers to the process of instructing, guiding, counselling, motivating and leading people in the organisation to achieve its objectives.

The main characteristics of directing are:

(i) Directing initiates action: Directing is a key managerial function. A manager has to perform this function along with planning, organising, staffing and controlling while discharging his duties in the organisation.

(ii) Directing takes place at every level of management: Every manager, from top executive to supervisor performs the function of directing. The directing takes place wherever superior – subordinate relations exist.

(iii) Directing is a continuous process: Directing is a continuous activity. It takes place throughout the life of the organisation irrespective of people occupying managerial positions.

(iv) Directing flows from top to bottom: Directing is first initiated at top level and flows to the bottom through organisational hierarchy.

CONTROLLING

Controlling means ensuring that activities in an organisation are performed as per the plans. Controlling also ensures that an organisation's resources are being used effectively and efficiently for the achievement of predetermined goals. Controlling is, thus, a goal-oriented function.

Controlling is a systematic process involving the following steps:

(i) Setting Performance Standards: Standards are the criteria against which actual performance would be measured. Thus, standards serve as benchmarks towards which an organisation strives to work.

(ii) Measurement of Actual Performance: Once performance standards are set, the next step is measurement of actual performance. Performance should be measured in an objective and reliable manner.

(iii) Comparing Actual Performance with Standards: This step involves comparison of actual performance with the standard. Such comparison will reveal the deviation between actual and desired results.

(iv) Analysing Deviations: Some deviation in performance can be expected in all activities. It is, therefore, important to determine the acceptable range of deviations.

PRINCIPLES OF MANAGEMENT

A managerial principle is a broad and general guideline for decision making and behaviour. Management principles are not as rigid as principles of pure science. They deal with human behaviour and, thus, are to be applied creatively given the demands of the situation.

nature of Principles of Management:

(i) Universal applicability: The principles of management are intended to apply to all types of organisations.

(ii) General guidelines: The principles are guidelines to action but do not provide readymade solutions to all managerial problems.

(iii) Formed by practice and experimentation: The principles of management are formed by experience and collective wisdom of managers as well as experimentation.

(iv) Flexible: The principles of management are not rigid prescriptions, which have to be followed absolutely. They are flexible and can be modified by the manager when the situation so demands.

PRINCIPLES OF MANAGEMENT

(v) Mainly behavioral: Management principles aim at influencing behaviour of human beings.

(vi) Cause and effect relationships: The principles of management are intended to establish relationship between cause and effect so that they can be used in similar situations in a large

(vii) Contingent: The application of principles of management is contingent or dependent upon the prevailing situation at a particular point of time.

PRINCIPLES OF SCIENTIFIC MANAGEMENT

- Proposed by Fredrick Winslow Taylor
- In the words of **Taylor**, "Scientific management means knowing exactly what you want men to do and seeing that they do it in the best and cheapest way."

- Following are the principles of scientific management:

1. Science, not Rule of Thumb: Taylor focused on the scientific study and analysis of each and every element of a work to replace the old rule of thumb method or hit and trial method. Rule of thumb is not based on science or exact measurement. Scientific method is based on cause and effect, whereas rule of thumb was based solely on the discretion of managerial decisions.

PRINCIPLES OF SCIENTIFIC MANAGEMENT

2. Harmony, Not Discord: Taylor recognized the class conflict that existed between the workers and managers. He emphasized that there should be no conflict between the workers and managers. Both of them should realize the importance of each other and should work together for organizational goals. In order to achieve this harmonious relation, he focused on 'Mental Revolution', which means that workers and managers should transform their thinking.

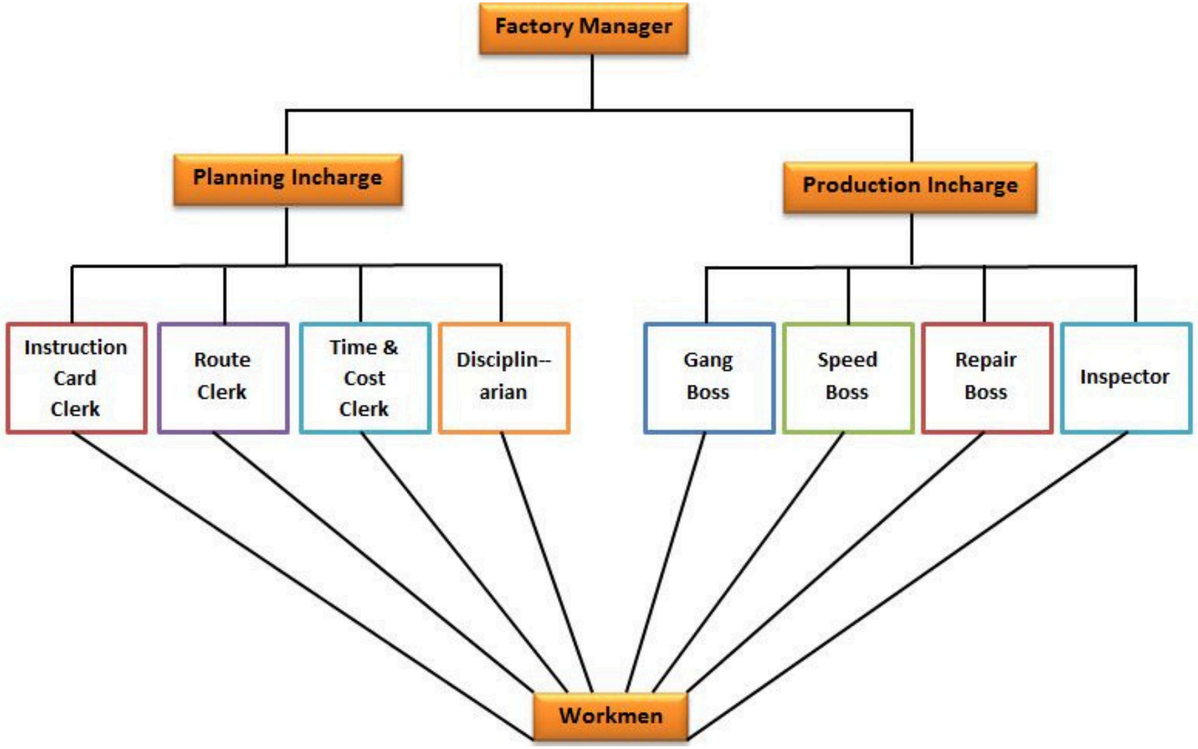
3. Cooperation, Not Individualism: According to this, there should be cooperation between management and workers instead of individualism. This principle is an extension of Principle 'Harmony, Not Discord'. Both management and workers should realize that they need each other. There should be cooperation between them, and competition should be replaced by cooperation. For achieving this principle, management should welcome the constructive ideas and suggestions of the workers.

PRINCIPLES OF SCIENTIFIC MANAGEMENT

4. Development of Each and Every Person to His or Her Greatest Efficiency and Prosperity: Taylor focused on the efficiency of workers. According to him, every organization should follow the scientific method of selection of workers, and each worker should be scientifically selected. Then they should be assigned work according to their mental, physical and intellectual capabilities. To increase efficiency, training should be provided. This increase in efficiency will be beneficial for both workers and management.

TECHNIQUES OF SCIENTIFIC MANAGEMENT

1. **Functional Foremanship:** In the factory system, the foreman represents the managerial figure with whom the workers are in face-to-face contact on a daily basis. The foreman is the lowest ranking manager and the highest ranking worker. Taylor believes that one foreman is not an expert in all aspects of work. Therefore, each worker should be supervised by several foremen. Those who are specialized in their field.



TECHNIQUES OF SCIENTIFIC MANAGEMENT

2. Standardisation and Simplification of Work: Standardisation refers to the process of setting standards for every business activity; it can be standardisation of process, raw material, time, product, machinery, methods or working conditions. These standards are the benchmarks, which must be adhered to during production.

Simplification aims at eliminating superfluous varieties, sizes and dim ensions while standardisation implies devising new varieties instead of the existing ones. Simplification aims at eliminating unnecessary diversity of products.

3. **Work-study:** Work-study means systematic and critical assessment of all the operational functions in the organization. He advised work-study to improve efficiency. He has divided his work-study into four parts:

- **Method Study:** It is a concern with finding 'one best way' of doing a job.
- **Motion Study:** The main purpose of motion study is to detect and eliminate unnecessary movement, and to find out the best method of doing a particular job.
- **Time Study**: It is the technique that is used to determine the standard time taken by a worker.
- **Fatigue Study:** It refers to determining the amount and frequency of rest intervals required in completing a work

TECHNIQUES OF SCIENTIFIC MANAGEMENT

4. Differential Price Wage System: This is a system in which efficient and inefficient workers are paid at different rates. According to Taylor, financial incentives act as a motivator. So, Taylor developed the concept of a differential piece wage system. Under this technique, first of all, a standard task is established, and then two rates are fixed. Higher rates for those workers who produce more than the standard, and a low rate for those workers who do not produce above or equal to the standard.

FAYOL'S PRINCIPLES OF MANAGEMENT

- Proposed by Henri Fayol
- The 14 principles of management given by him are:

(i) Division of Work: Work is divided into small tasks/ jobs. A trained specialist who is competent is required to perform each job. Thus, division of work leads to specialisation.

(ii) Authority and Responsibility: According to Fayol, "Authority is the right to give orders and obtain obedience, and responsibility is the corollary of authority.

(iii) Discipline: Discipline is the obedience to organisational rules and employment agreement which are necessary for the working of the organisation.

FAYOL'S PRINCIPLES OF MANAGEMENT

(iv) Unity of Command: According to Fayol there should be one and only one boss for every individual employee. The principle of unity of command states that each participant in a formal organisation should receive orders from and be responsible to only one superior.

(v) Unity of Direction: All the units of an organisation should be moving towards the same objectives through coordinated and focussed efforts.

(vi) Subordination of Individual Interest to General Interest: The interests of an organisation should take priority over the interests of any one individual employee according to Fayol.

(**vii) Remuneration of Employees:** The overall pay and compensation should be fair to both employees and the organisation. The employees should be paid fair wages, which should give them at least a reasonable standard of living. At the same time it should be within the paying capacity of the company.

FAYOL'S PRINCIPLES OF MANAGEMENT

(viii) Centralisation and Decentralisation: The concentration of decision-making authority is called centralisation whereas its dispersal among more than one person is known as decentralisation.

(ix) Scalar Chain: According to Fayol, "Organisations should have a chain of authority and communication that runs from top to bottom and should be followed by managers and the subordinates."

(x) Order: According to Fayol, "People and materials must be in suitable places at appropriate time for maximum efficiency."

(xi) Equity: according to Fayol. This principle emphasises kindliness and justice in the behaviour of managers towards workers. This will ensure loyalty and devotion.

FAYOL'S PRINCIPLES OF MANAGEMENT

(xii) Stability of Personnel: according to Fayol. Personnel should be selected and appointed after due and rigorous procedure. But once selected they should be kept at their post/ position for a minimum fixed tenure.

(xiii)Initiative: Workers should be encouraged to develop and carry out their plans for improvements. Initiative means taking the first step with self-motivation.

(xiv) Esprit De Corps: Management should promote a team spirit of unity and harmony among employees

MANAGEMENT AS AN ART

Art is the skillful and personal application of existing knowledge to achieve desired results. The basic features of an art are as follows:

(i) Existence of theoretical knowledge: Art presupposes the existence of certain theoretical knowledge. Experts in their respective areas have derived certain basic principles which are applicable to a particular form of art. A successful manager practices the art of management in the day-to-day job of managing an enterprise based on study, observation and experience.

(ii) Personalised application: The use of this basic knowledge varies from individual to individual. Art, therefore, is a very personalised concept. There are various theories of management, as propounded by many management thinkers, which prescribe certain universal principles.

(iii) Based on practice and creativity: All art is practical. Art involves the creative practice of existing theoretical knowledge. A manager applies thE acquired knowledge in a personalised and skillful manner in the light of the realities of a given situation.

MANAGEMENT AS A SCIENCE

Management as a science Science is a systematised body of knowledge that explains certain general truths or the operation of general laws. The basic features of science are as follows:

(i) Systematised body of knowledge: Science is a systematic body of knowledge. Its principles are based on a cause and effect relationship. (i) Management has a systematised body of knowledge. It has its own theory and principles that have developed over a period of time, but it also draws on other disciplines such as Economics, Sociology, Psychology and Mathematics.

(ii) Principles based on experimentation: Scientific principles are first developed through observation and then tested through repeated experimentation under controlled conditions. The principles of management have evolved over a period of time based on repeated experimentation and observation in different types of organisations.

(iii) Universal validity: Scientific principles have universal validity and application. Since the principles of management are not as exact as the principles of science, their application and use is not universal. They have to be modified according to a given situation.

MANAGEMENT AS A PROFESSION

A profession has the following characteristics:

(i) Well-defined body of knowledge: All professions are based on a well-defined body of knowledge that can be acquired through instruction. All over the world there is marked growth in management as a discipline. It is based on a systematic body of knowledge comprising well-defined principles based on a variety of business situations.

(ii) Restricted entry: The entry to a profession is restricted through an examination or through acquiring an educational degree. There is no restriction on anyone being designated or appointed as manager in any business enterprise. Anyone can be called a manager irrespective of the educational qualifications possessed.

(iii) Professional association: All professions are affiliated to a professional association which regulates entry, grants certificate of practice and formulates and enforces a code of conduct. There are several associations of practising managers in India, like the AIMA (All India Management Association) that has laid down a code of conduct to regulate the activities of their members. There is, however, no compulsion for managers to be members of such an association

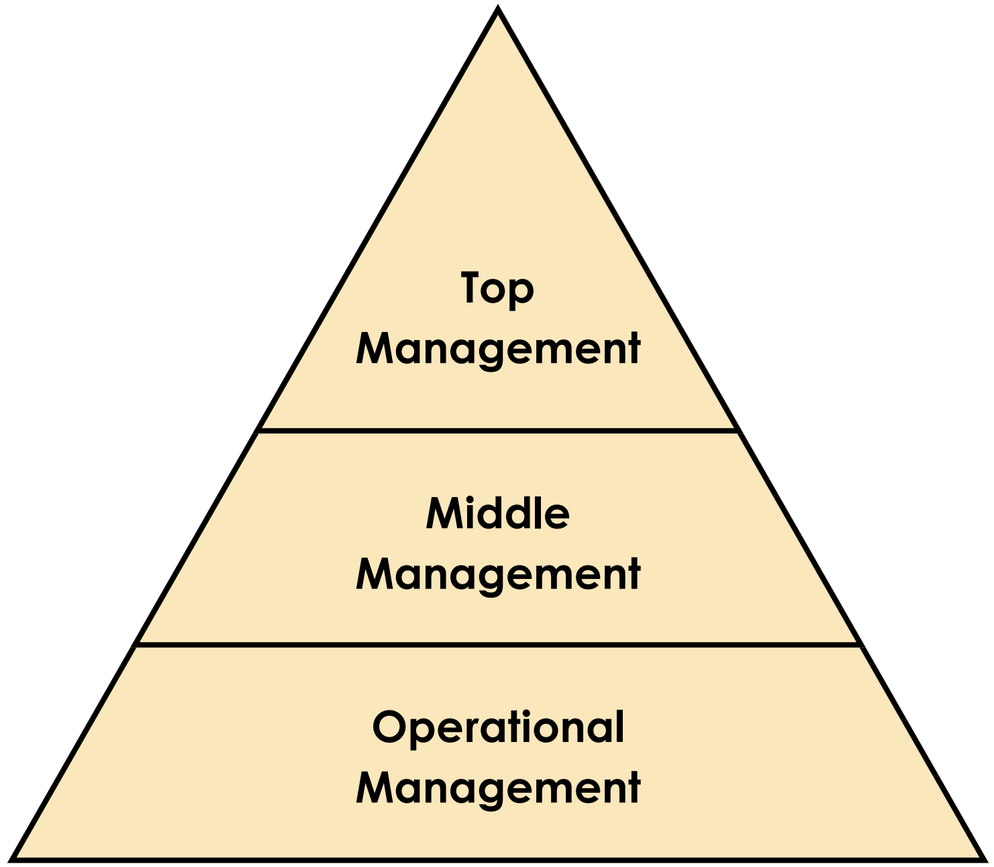
MANAGEMENT AS A PROFESSION

(**iv) Ethical code of conduct**: All professions are bound by a code of conduct which guides the behaviour of its members.

(v) Service motive: The basic motive of a profession is to serve their client's interests by rendering dedicated and committed service. The basic purpose of manage ment is to help the organisation achieve its stated goal. This may be profit maximisation for a business enterprise and service for a hospital.

LEVELS OF MANAGEMENT

Management is a universal term used for certain functions performed by individuals in an enterprise who are bound together in a hierarchy of relationships. Every individual in the hierarchy is responsible for successful completion of a particular task.



LEVELS OF MANAGEMENT

(i) Top Management: They consist of the senior-most executives of the organisation by whatever name they are called. They are usually referred to as the chairman, the chief executive officer, chief operating officer, president and vice-president. These top level managers are responsible for the welfare and survival of the organisation. They analyse the business environment and its implications for the survival of the firm. They formulate overall organisational goals and strategies for their achievement.

(ii) Middle Management: is the link between top and lower level managers. They are subordinate to top managers and superior to the first line managers. They are usually known as division heads. Middle management is responsible for implementing and controlling plans and strategies developed by top management. At the same time they are responsible for all the activities of first line managers. Their main task is to carry out the plans formulated by the top managers.

(iii) Supervisory or Operational Management: Foremen and supervisors comprise the lower level in the hierarchy of the organisation. Supervisors directly oversee the efforts of the workforce. Their authority and responsibility is limited according to the plans drawn by the top management.

MCGREGOR'S THEORY X AND THEORY Y

- **Theory X (Traditional View):**

1. Employees dislike work and avoid responsibility
2. Need strict supervision and control
3. Motivated mainly by money, rewards & punishment
4. Management uses authority and carrot-and-stick approach

- **Theory Y (Modern View):**

1. Employees enjoy work and seek responsibility
2. Capable of self-direction and self-control
3. Motivated by growth, recognition & achievement
4. Management encourages participation and trust

- Managers' assumptions shape leadership style and employee motivation. Theory X leads to control and close supervision, while Theory Y encourages trust, participation, and empowerment. Adopting Theory Y improves job satisfaction, productivity, and a positive organizational culture.

COORDINATION — THE ESSENCE OF MANAGEMENT

- A manager has to link these diverse groups towards the achievement of a common goal. The process by which a manager synchronises the activities of different departments is known as coordination.
- The process of coordinating the activities of an organisation begins at the planning stage itself. Top management plans for the entire organisation. According to these plans the organisational structure is developed and staffed.
- characteristics of coordination are:

(i) Coordination integrates group efforts: Coordination unifies unrelated or diverse interests into purposeful work activity.

(ii) Coordination ensures unity of action: The purpose of coordination is to secure unity of action in the realisation of a common purpose.

(iii) Coordination is a continuous process: Coordination is not a one-time function but a continuous process. It begins at the planning stage and continues till controlling.

(iv) Coordination is an all-pervasive function: Coordination is required at all levels of management due to the interdependent nature of activities of various departments.

COORDINATION — THE ESSENCE OF MANAGEMENT

(v) Coordination is the responsibility of all managers: Coordination is the function of every manager in the organisation.

(vi) Coordination is a deliberate function: A manager has to coordinate the efforts of different people in a conscious and deliberate manner.

- Coordination, therefore, is not a separate function of management, but its very essence. For an organisation to effectively and efficiently achieve its objectives coordination is required. Like a thread in a garland, coordination is a part of all management functions

TYPES OF PLANS

- Objectives
- Strategy
- Policy
- Procedure
- Method
- Rule
- Programme
- Budget.

Single Use Plans

A single-use plan is developed for a one-time event or project. Such a course of action is not likely to be repeated in future, i.e., they are for non-recurring situations. These plans include budgets, programmes and projects.

Standing Plans

A standing plan is used for activities that occur regularly over a period of time. It is designed to ensure that internal operations of an organisation run smoothly. Standing plans include policies, procedures, methods and rules.

TYPES OF PLANS

1. **Objectives**: The first step in planning is setting objectives. Objectives, therefore, can be said to be the desired future position that the management would like to reach. an objective simply stated is what you would like to achieve, i.e., the end result of activities.

- They are usually set by top management of the organisation and focus on broad, general issues.
- They define the future state of affairs which the organisation strives to realise.
- For example, an organisation may have an objective of increasing sales by 10% or earning a reasonable rate of return on investment, earn a 20% profit from business.
- Objectives need to be expressed in specific terms i.e., they should be measurable in quantitative terms, in the form of a written statement of desired results to be achieved within a given time period

TYPES OF PLANS

Objectives vs Goals

	OBJECTIVE	GOAL
DEFINITION	The direction and overall destination of your company that helps you realise your vision	The exact actions and steps your company must take to reach your goals.
SPECIFICITY	General intention or direction	Specific, precise
PLAN	Broad in scope	Narrow in scope
SIZE	Large in size, the whole	Small chunks, part of the whole
EXAMPLE	Increase international customer base	Acquire 28% more customers from the UK, Australia and Germany in next 3 months
ACTIONS	A general outcome	Specific actions and measurable steps
MEASUREMENT	Difficult, goals are generally intangible and may not be strictly measurable	Easy, it must be measurable and tangible
TIME FRAME	long term	Medium to short term

TYPES OF PLANS

2. **Strategy:** A strategy provides the broad contours of an organisation's business. It will also refer to future decisions defining the organisations direction and scope in the long run.

- Thus, we can say a strategy is a comprehensive plan for accomplishing an organisation objective. This comprehensive plan will include three dimensions, (i) determining long term objectives, (ii) adopting a particular course of action, and (iii) allocating resources necessary to achieve the objective.
- Whenever a strategy is formulated, the business environment needs to be taken into consideration. The changes in the economic, political, social, legal and technological environment will affect an organisation's strategy.
- For example, a company's marketing strategy has to address certain questions i.e., who are the customers? what is the demand for the product? These and many more issues need to be resolved while formulating a marketing strategy for any organisation.

TYPES OF PLANS

3. **Policy:** Policies are general statements that guide thinking or channelise energies towards a particular direction. Policies provide a basis for interpreting strategy which is usually stated in general terms. They are guides to managerial action and decisions in the implementation of strategy.

For example, the company may have a recruitment policy, pricing policy within which objectives are set and decisions are made.

4. **Procedure**: Procedures are routine steps on how to carry out activities. They detail the exact manner in which any work is to be performed. They are specified in a chronological order.

For example, there may be a procedure for requisitioning supplies before production.

5. **Method**: Methods provide the prescribed ways or manner in which a task has to be performed considering the objective. It deals with a task comprising one step of a procedure and specifies how this step is to be performed. Selection of proper method saves time, money and effort and increases efficiency.

TYPES OF PLANS

6. **Rule:** Rules are specific statements that inform what is to be done. They do not allow for any flexibility or discretion. They are usually the simplest type of plans because there is no compromise or change unless a policy decision is taken.

7. **Programme:** Programmes are detailed statements about a project which outlines the objectives, policies, procedures, rules, tasks, human and physical resources required and the budget to implement any course of action.

8. **Budget**: A budget is a statement of expected results expressed in numerical terms. It is a plan which quantifies future facts and figures.

For example, a sales budget may forecast the sales of different products in each area for a particular month.

TYPES OF ORGANISATION STRUCTURE

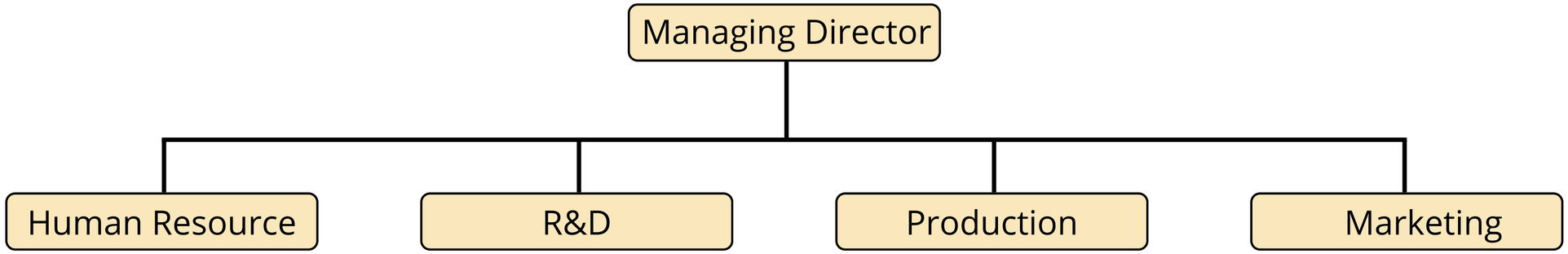
The type of structure adopted by an organisation will vary with the nature and types of activities performed by an organisation. The organisational structure can be classified under two categories which are as follows:

(i) Functional structure and

(ii) Divisional structure

Functional structure

Grouping of jobs of similar nature under functional and organising these major functions as separate departments create a functional structure. All departments report to a coordinating head.



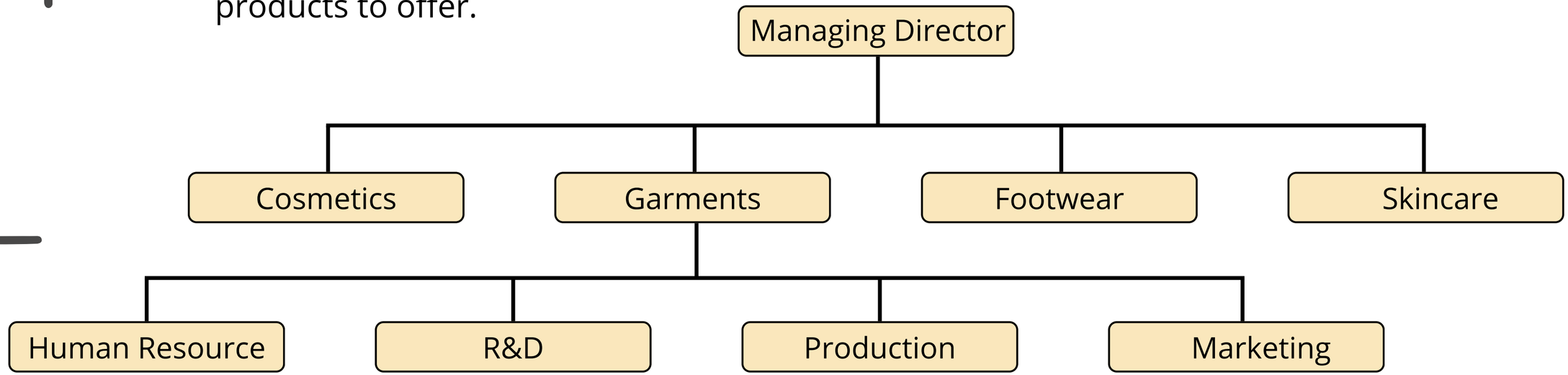
Suitability: It is most suitable when the size of the organisation is large, has a diversified activities and operations require a high degree of specialisation.

TYPES OF ORGANISATION STRUCTURE

Divisional Structure

Many large organisations with diversified activities have reorganised themselves away from the simpler and basic functional structure towards a divisional structure which is more suited to their activities.

This is particularly true of those enterprises which have more than one category of products to offer.



Suitability: Divisional structure is suitable for those business enterprises where a large variety of products are manufactured using different productive resources.

SOURCES OF RECRUITMENT

Internal Sources

- Transfer
- Promotion

External Sources

- Direct Recruitment
- Casual Callers
- Advertisement
- Employment Exchange
- Placement Agencies and Management Consultants
- Campus Recruitment
- Recommendations of Employees
- Labour Contractors
- Advertising on Television
- Web Publishing

SOURCES OF RECRUITMENT

(i) **Direct Recruitment**: Under the direct recruitment, a notice is placed on the noticeboard of the enterprise specifying the details of the jobs available.

(ii) **Casual Callers**: Many reputed business organisations keep a database of unsolicited applicants in their offices. Such jobseekers can be a valuable source of man power.

(iii) **Advertisement:** Advertisement in newspapers or trade and professional journals is generally used when a wider choice is required. Most of the senior positions of industry as well as commerce are filled by this method.

(iv) **Employment Exchange:** Employment exchanges run by the Government are regarded as a good source of recruitment for unskilled and skilled operative jobs.

(v) **Placement Agencies and Management Consultants:** In technical and professional areas, private agencies and professional bodies appear to be doing substantive work. Placement agencies provide a nationwide service in matching personnel demand and supply.

(vi) **Campus Recruitment**: Colleges and institutes of management and technology have become a popular source of recruitment for technical, professional and managerial jobs.

SOURCES OF RECRUITMENT

(vii) **Recommendations of Employees**: Applicants introduced by present employees, or their friends and relatives may prove to be a good source of recruitment.

(viii) **Labour Contractors**: Labour contractors maintain close contacts with labourers and they can provide the required number of unskilled workers at short notice.

(ix) **Advertising on Television:** The practice of telecasting of vacant posts over Television is gaining importance these days. The detailed requirements of the job and the qualities required to do it are publicised along with the profile of the organisation where vacancy exists.

(x) **Web Publishing**: Internet is becoming a common source of recruitment these days. There are certain websites specifically designed and dedicated for the purpose of providing information about both job seekers and job opening.

TRAINING METHODS

On The Job Methods

(i) **Apprenticeship Programmes:** Apprenticeship programmes put the trainee under the guidance of a master worker. These are designed to acquire a higher level of skill.
(ii) **Coaching**: In this method, the superior guides and instructs the trainee as a coach. The coach or counselor sets mutually agreed upon goals, suggests how to achieve these goals, periodically reviews the trainees progress and suggests changes required in behavior and performance.
(iii) **Internship Training**: It is a joint programme of training in which educational institutions and business firms cooperate.
(iv) **Job Rotation:** This kind of training involves shifting the trainee from one department to another or from one job to another. This enables the trainee to gain a broader understanding of all parts of the business and how the organisation as a whole functions.

TRAINING METHODS

Off The Job Methods

(i) Classroom Lectures/Conferences: The lecture or conference approach is well adapted to conveying specific information rules, procedures or methods.

(ii) **Films**: They can provide information and explicitly demonstrate skills that are not easily represented by the other techniques.

(iii) **Case Study**: Taken from actual experiences of organisations, cases represent attempts to describe, as accurately as possible real problems that managers have faced.

(iv) **Computer Modelling**: It simulates the work environment by programming a computer to imitate some of the realities of the job and allows learning to take place without the risk or high costs that would be incurred if a mistake were made in real life situation.

(v) **Vestibule Training**: Employees learn their jobs on the equipment they will be using, but the training is conducted away from the actual work floor.

(vi) **Programmed Instruction**: This method incorporates a prearran ged and proposed acquisition of some specific skills or general knowledge. Information is broken into meaningful units and these units are arranged in a proper way to form a logical and sequential learning package i.e. from simple to complex.

MOTIVATION

- All organizations are concerned with what should be done to achieve sustained high levels of performance through people. This means giving close attention to how individuals can best be motivated through such means as incentives, rewards, leadership and, importantly, the work they do and the organization context within which they carry out that work.

- The aim is to develop motivation processes and a work environment that will help to ensure that individuals deliver results in accordance with the expectations of management.

- The three components of motivation as listed by Arnold et al (1991) are:

1. direction – what a person is trying to do;
2. effort – how hard a person is trying;
3. persistence – how long a person keeps on trying.

TYPES OF MOTIVATION

- There are two types of motivation as originally identified by Herzberg et al (1957):

1. **Intrinsic motivation** – the self-generated factors that influence people to behave in a particular way or to move in a particular direction. These factors include responsibility (feeling that the work is important and having control over one's own resources), autonomy (freedom to act), scope to use and develop skills and abilities, interesting and challenging work and opportunities for advancement.

2. **Extrinsic motivation** – what is done to or for people to motivate them. This includes rewards, such as increased pay, praise, or promotion, and punishments, such as disciplinary action, withholding pay, or criticism.

MOTIVATION THEORIES

- **Instrumentality theory**, which states that rewards or punishments (carrots or sticks) serve as the means of ensuring that people behave or act in desired ways.

- **Content theory,** which focuses on the content of motivation. It states that motivation is essentially about taking action to satisfy needs, and identifies the main needs that influence behaviour. Needs theory was originated by Maslow (1954), and in their two-factor model, Herzberg et al (1957) listed needs which they termed 'satisfiers'.

- **Process theory**, which focuses on the psychological processes which affect motivation, by reference to expectations (Vroom, 1964), goals (Latham and Locke,1979) and perceptions of equity (Adams, 1965).

INSTRUMENTALITY THEORY

- Belief that effort leads to outcomes.
- Assumes people are motivated mainly by monetary rewards.
- Emerged in the late 19th century, focusing on efficiency and economic results.
- Motivation occurs when rewards and penalties are directly linked to performance.
- Rooted in Taylorism (F. W. Taylor, 1911) — financial incentives drive higher effort.
- **Carrot-and-Stick Approach**: Uses a combination of rewards (carrot) and penalties (stick) to influence behavior and maximize productivity.
- Effective in performance-based systems where measurable outputs can be linked to incentives.

Limitations:

- Depends heavily on external rewards.
- Ignores social and psychological needs of employees.
- Overlooks informal worker relationships and intrinsic motivation.

CONTENT (NEEDS) THEORY

- The basis of this theory is the belief that the content of motivation consists of needs.

- An unsatisfied need creates tension and a state of disequilibrium. To restore the balance, a goal that will satisfy the need is identified, and a behaviour pathway that will lead to the achievement of the goal is selected. All behaviour is therefore motivated by unsatisfied needs.

- Not all needs are equally important for a person at any one time – some may provide a much more powerful drive towards a goal than others, depending on the individual's background and present situation. Complexity is further increased because there is no simple relationship between needs and goals.

1. MASLOW – HIERARCHY OF NEEDS

- This is the earliest and most widely known theory of motivation, developed by Abraham Maslow (1943) in the 1940s and 1950s.
- His theory was based on human needs. He felt that within every human being, there exists a hierarchy of five needs. These are:

(i) **Basic Physiological Needs**: These needs are most basic in the hierarchy and corresponds to primary needs. Hunger, thirst, shelter and sleep are some examples of these needs. In the organisational context, basic salary helps to satisfy these needs.

(ii) **Safety/Security Needs:** These needs provide security and protection from physical and emotional harm. Examples: job security, stability of income, Pension plans etc.,

(iii) **Affiliation/Belonging Needs:** These needs refer to affection, sense of belongingness, acceptance and friendship.

(iv) **Esteem Needs:** These include factors such as self-respect, auto nomy status, recognition and attention.

(v) **Self Actualisation** Needs: It is the highest level of need in the hierarchy. It refers to the drive to become what one is capable of becoming. These needs include growth, self-fulfillment and achi evement of goals.

1. MASLOW – HIERARCHY OF NEEDS

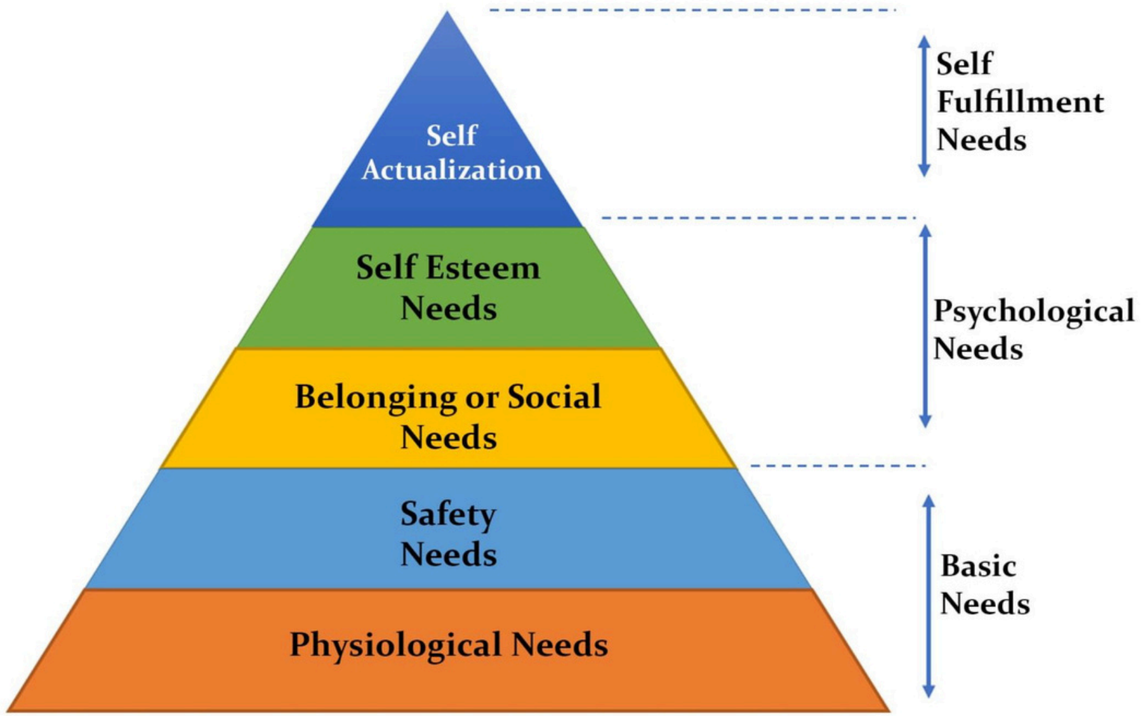
Maslow's theory is based on the following assumptions:

(i) People's behaviour is based on their needs. Satisfaction of such needs influences their behaviour.

(ii) People's needs are in hierarchical order, starting from basic needs to other higher level needs.

(iii) A satisfied need can no longer motivate a person; only next higher level need can motivate him.

(iv) A person moves to the next higher level of the hierarchy only when the lower need is satisfied.



2. Alderfer – ERG theory: Existence needs, relatedness needs and growth needs

- Alderfer (Furnham, 2008) distinguished three steps or classes of needs: existence, relatedness and growth. Maslow's physiological and safety needs belong together to existence needs. Relatedness can be harmonised to belongingness and esteem of others. Growth is the same as Maslow's self-esteem plus self-actualization. Both Maslow and Alderfer tried to describe how these needs, these stages of needs become more or less important to individuals.

1. **Existence needs**: These include needs for basic material necessities. In short, it includes an individual's physiological and physical safety needs.
2. **Relatedness needs:** Individuals need significant relationships (be with family, peers or superiors), love and belongingness, they strive toward reaching public fame and recognition. This class of needs contain Maslow's social needs and external component of esteem needs.
3. **Growth needs**: Need for self-development, personal growth and advancement form together this class of need. This class of needs contain Maslow's self-actualization needs and intrinsic component of esteem needs.

- **Implication of this theory:** Managers must understand that an employee has various needs that must be satisfied at the same time. ERG theory says, if the manager concentrates only on one need at a time, he or she won't be able to motivate the employee effectively and efficiently.

3. McClelland - Need for achievement, affiliation and power

- In the early 1960s McClelland - built on Maslow's work - described three human motivators. McClelland claimed that humans acquire and learn their motivators over time that is the reason why this theory is sometimes called the 'Learned Needs Theory".
- He affirms that we all have three motivating drivers and it does not depend on our gender or age. One of these drivers or needs will be dominant in our behaviour.
- The three motivators are:

1. **Achievement:** a need to accomplish and demonstrate competence or mastery. It pertains to a person's need for significant success, mastering of skills, control or high standards. It is associated with a range of actions. Individual seek achievement, attainment of challenging (and also realistic) goals, and advancement in the school or job. This need is influenced by internal drivers for action (intrinsic motivation), and the pressure used by the prospects of others (extrinsic motivation). Low need for achievement could mean that individuals want to minimise risk of failure, and for this reason people may choose very easy or too difficult tasks, when they cannot avoid failure. In contrast, high need for achievement means that humans try to choose optimal, sufficiently difficult tasks, because they want to get the chance to reach their goals, but they have to work for it, they need to develop themselves.

3. McClelland - Need for achievement, affiliation and power

2. **Affiliation**: a need for love, belonging or relatedness. These people have a strong need for friendships and want to belong within a social group, need to be liked and held in popular regard. They are team players and they may be less effective in leadership roles. High-need-for-affiliation persons have support from those with whom they have regular contact and mostly are involved in warm interpersonal relationships.

3. **Power**: a need for control over one's own work or the work of others. These persons are authority motivated. There is a strong need to lead and to succeed in their ideas. This person would like to control and influence others.

4. Herzberg – Two factor theory

- It is also called **motivation-hygiene theory.**
- Opposite of satisfaction is not dissatisfaction, but rather, no satisfaction.
- According to Herzberg the job satisfiers deal with the factors involved in doing the job, whereas the job dissatisfiers deal with the factors which define the job context.
- Hygiene factors are needed to ensure that an employee is not dissatisfied. Motivation factors are needed to ensure employee's satisfaction and to motivate an employee for higher performance.
- Herzberg's five factors of job satisfaction (**motivating** factors):

1. achievement
2. recognition
3. work itself
4. responsibility
5. advancement

- Herzberg's five factors of job dissatisfaction (**hygiene** factors – deficiency needs):

1. company policy and administration
2. supervision
3. salary
4. interpersonal relationships
5. working conditions

- Only these factors can motivate us. But at the same time we need the lack of dissatisfactions (we need hygiene factors, "workpeace") to achieve more efficient work.

PROCESS THEORY

“hows” of motivation. Instead of focusing on what people need, these models focus on the psychological and behavioral processes that humans follow.

VROOM'S EXPECTANCY THEORY

- Victor Vroom's (1964) expectancy theory aims to explain how people choose from the available actions. Vroom defines motivation as a process that governs our choices among alternative forms of voluntary behaviour. The basic rationale of this theory is that motivation stems from the belief that decisions will have their desired outcomes.

- The motivation to engage in an activity is determined by appraising three factors. These three factors are the following:

1. **Expectancy** – a person’s belief that more effort will result in success. If you work harder, it will result in better performance.

In this case the question is: "Am I capable of making a good grade on a math test if I learn more?" Appraisal of this factor is based on the effort to learn math, on knowledge of math, on the previous experience of math test results, on self-efficacy and specific self-rated abilities.

VROOM'S EXPECTANCY THEORY

2. **Instrumentality** – the person's belief that there is a connection between activity and goal. If you perform well, you will get reward.

In this case the question is that: "Will I get the promised reward (a good mark) for performing well on a math test?" Appraisal of this factor is based on the accuracy and consistency of marking. If one day I get a good grade and another day I get a bad grade for the same performance, then the motivation will decrease.

3. **Valence** – the degree to which a person values the reward, the results of success.

In this case the question is that: "Do I value the reward that I get?" Appraisal of this factor is based on the importance of its subject (math), the good mark, and the good performance in general.

MANAGERIAL ROLES

- **Managerial roles can be classified into 3 broad categories:**

(1) **Interpersonal Roles**

1. **Figurehead:** Members of the organization look up to a manager as a source of inspiration. He/She is expected to have social, ceremonial and legal responsibilities. Managers perform the duties that are symbolic in nature. The manager is seen as a symbol of status and authority.
2. **Leader:** A manager exhibits leadership role in the organization involving duties such as structuring and motivating subordinates, overseeing their progress, managing their responsibilities, promoting and encouraging their development, and balancing effectiveness.
3. **Liaison:** Managers must communicate with internal and external parties. A manager has information and communication obligations. A manager is expected to maintain a network of contacts on behalf of the organization to obtain key information and gather access to knowledge base.

MANAGERIAL ROLES

(2) Informational Roles

1. Monitor: This role encompasses duties such as assessing internal operations, a department's success and the problems and opportunities which may arise. The monitor seeks internal and external information about issues that can affect the organization and ensures that such information is stored and maintained properly.

2. Disseminator: The disseminator transmits information internally that is obtained from either internal or external sources. A manager highlights factual or value-based external views into the organization and to subordinates. This requires both filtering and delegation skills.

3. Spokesperson: This role includes representing the organization and providing information about the organization in the capacity of Public Relations (PR) to outsiders. This role ensures that the key stakeholders are updated about the operations of the organization.

MANAGERIAL ROLES

(3) Decisional Roles

1. Entrepreneur: This role involves all aspects associated with acting as an initiator, designer, and also an encourager of innovation and change.
2. Disturbance Handler: The disturbance handler takes corrective action when the organization faces important, unexpected difficulties. A generalist role that takes charge when an organization is unexpectedly upset or transformed and requires calming and support.
3. Resource Allocator: This role describes the responsibility of optimum allocation of financial, material and personnel/human resources. The resource allocator distributes resources of all types, including time, funding, equipment, and human resources.
4. Negotiator: This role includes representing the organization in negotiations which affect the manager's scope of responsibilities.

MANAGERIAL ETHOS

- **Ethos**: It is a Greek word meaning ‘Character‘. It refers to the set of moral beliefs, attitudes, ideas, habits, etc., that are characteristic of a person or group.
- **Managerial Ethos**: Managerial ethos is concerned with the character and values of managers as a group of professionals.

1. **Autonomy:** Enlightened managers believe that most people prefer to feel free and to do things as they like within the constraints imposed by their group. These managers tend to allow enough latitude to individual employees as long as the use of this freedom does not violate basic norms of the organisation.
2. **Equity:** ‘Equity refers to justice in rewarding performance. Modern managers strongly feel that a person must get a reward proportionate to his input. —Fairness has to be maintained.
3. **Security**: This value highlights both economic and emotional security. Getting work done from employees by making them feel insecure is slowly but steadily getting discredited as a management philosophy.
4. **Opportunity**: Another emerging managerial value is providing subordinates with career advancement opportunities by taking responsibility of his/her professional growth. Even if internal vacancies are not there, enough attention must be paid towards imparting relevant education, skills and exposure.

THANK YOU!